

Groups

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) every *_firm_* that is a *_CRR firm_* ; and
2. (2) a *_CRR consolidation entity_*.

1.2

In this Part the following definitions shall apply:

third country banking and investment group

means a *_group_* that meets the following conditions:

1. (1) it is headed by a *_third country undertaking_* that would be:
 1. (a) an *_institution_* ;
 2. (b) a *_financial holding company_* , or
 3. (c) a *_mixed financial holding company_* ,
4. if its head office was in the *_UK_* ; and
2. (2) it is not part of a wider *_consolidation group_*.

* Future version of 1.2 after 01/01/2027

1.3

Unless otherwise defined:

1. (1) any italicised expression used in this Part and in the *_CRR_* has the same meaning as in the *_CRR_* ; and
2. (2) any italicised expression used in this Part and in the *_CRD_* has the same meaning as in the *_CRD_*.

* Future version of 1.3 after 01/01/2027

2

Methods of Prudential Consolidation

2.A1

This chapter applies to a *_firm_* for the purposes of its obligations under Parts Two and Three of the *_CRR_*.

* Future version of 2.A1 after 01/01/2027

2.1

1. (1) In applying the requirements of Part One, Title II, Chapter 2 of the _CRR_ for the purposes of prudential consolidation, a _CRR consolidation entity_ must include the relevant proportion of an undertaking with whom it has:

1. (a) a _common management relationship_;
2. (b) an _Article 18(6) relationship_ ; or
3. (c) an Article 18(8) relationship.

2. (2) In 2.1(1), the relevant proportion is such proportion (if any) as stated in a requirement imposed on the _firm_ in accordance with section 55M of _FSMA_.

[Note : Art 18(3), (6) and (8) of the _CRR_]

* Future version of 2.1 after 01/01/2027

2.2

In applying the requirements of Part One, Title II, Chapter 2 of the _CRR_ for the purposes of prudential consolidation, a _CRR consolidation entity_ for which the _PRA_ is the _consolidating supervisor_ must carry out a proportional consolidation according to the share of capital held of _participations_ in _institutions_ and _financial institutions_ managed by an undertaking included in the consolidation together with one or more undertakings not included in the consolidation, where those undertakings' liability is limited to the share of capital they hold.

[Note: Art 18(4) of the _CRR_]

* Future version of 2.2 after 01/01/2027

2.3

In applying the requirements of Part One, Title II, Chapter 2 of the _CRR_ for the purposes of prudential consolidation, a _CRR consolidation entity_ must carry out a proportional consolidation according to the share of capital held of any undertaking with whom it has an _Article 18(5) relationship_.

[Note: Art 18(5) of the _CRR_]

* Future version of 2.3 after 01/01/2027

3

Third Country Banking and Investment Groups

3.1

This Chapter applies where a _firm_ is subject to a _requirement_ obliging it to comply with 3.2 to 3.4 with respect to a _third country banking and investment group_ of which it is a member.

[Note: Art 127 of the _CRD_]

3.2

A _firm_ must comply with:

1. (1) those requirements of the _CRR_ that apply to the _firm_ on a _consolidated basis_ ; and
2. (2) rules that apply to the _firm_ on a _consolidated basis_ ,

on the basis of the consolidated situation of the _third country banking and investment group_.

3.3

A _firm_ must comply with Group Risk Systems in respect of the _third country banking and investment group_.

3.4

The scope of the _CRR_ requirements and rules referenced in 3.2 and 3.3 is adjusted:

1. (1) to remove any provisions disapplying those rules for _third country banking and investment groups_ ;
2. (2) to remove all limitations relating to where a member of the _third country banking and investment group_ is incorporated or has its head office; and
3. (3) so that the scope covers every member of the _third country banking and investment group_ that would have been included in the scope of those rules if those members had their head offices, and were incorporated, in the _UK_ _._

4

Scope of Prudential Consolidation

4.1

A _CRR consolidation entity_ must notify the _PRA_ as soon as possible if it excludes a _subsidiary_ or _undertaking_ in which it has a _participation_ from its _consolidation group_ under the discretion in Article19(1) of the _CRR_.

* Future version of 4.1 after 01/01/2027